Michelle Morrison
Chief Financial Officer

Portland Public Schools
501 North Dixon Street • Portland, OR 97227
Phone: (503) 916-2000
www.pps.net

MEMORANDUM

DATE August 5, 2025
TO Portland Public Schools Board of Education
FROM Michelle Morrison, Chief Financial Officer
CC Dr. Kimberlee Armstrong
SUBJECT Boundary Change Analysis

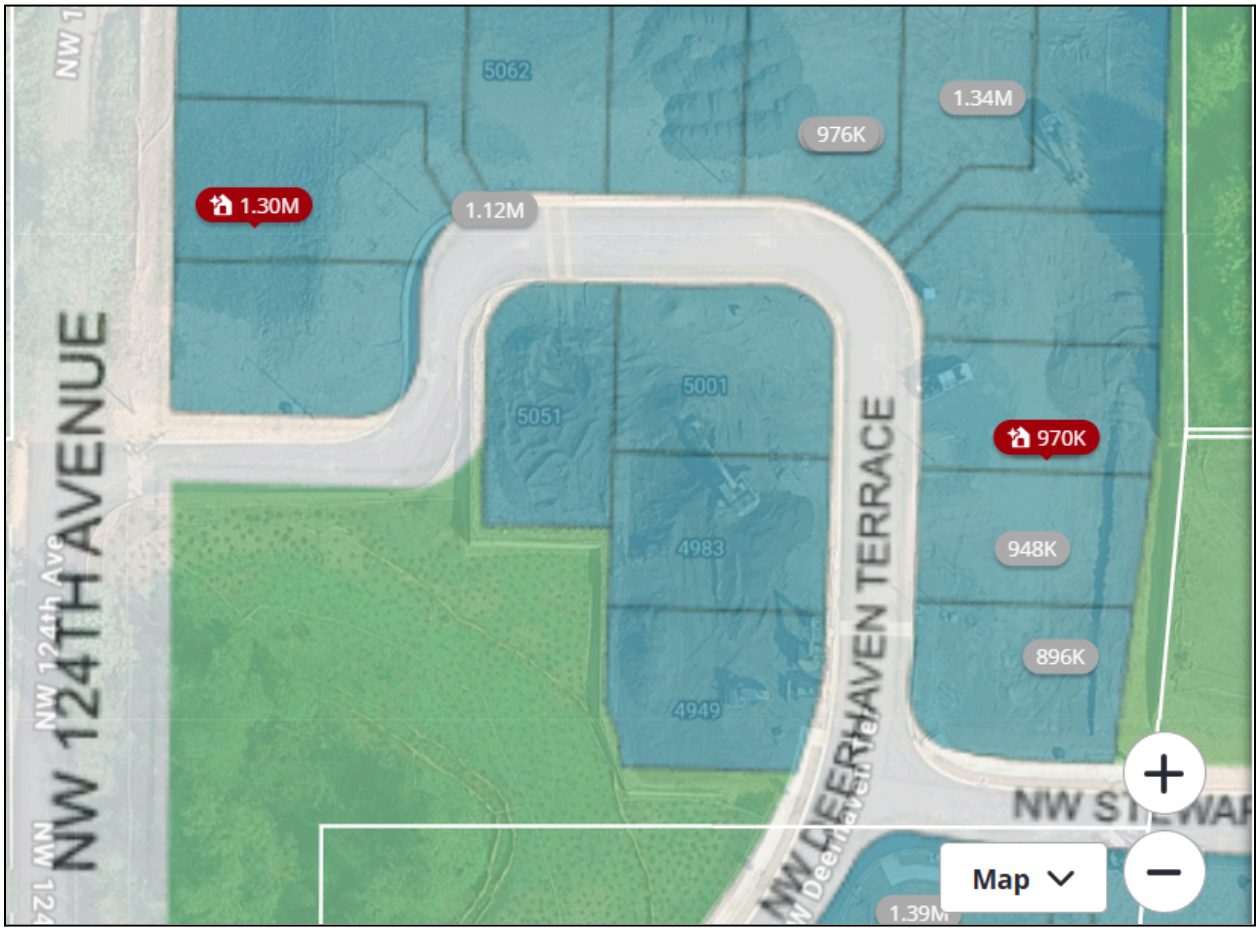
At the July 22nd Board Meeting, the Directors were recommended to approve a boundary adjustment on the west side of the District with Beaverton School District. The identified parcel was undeveloped when Washington and Multnomah counties implemented the boundary change which shifted the parcel from Multnomah to Washington county. The District did not make the adjustment at that time.

Currently, there are 12 developable lots with 2 completed residents and 10 more approved as building sites. The homes in this area are estimated to be $1.08 million average market value (assessed value to be determined). The Directors discussed the topic and requested additional information prior to making a determination. Please see the table below that identifies some impacts of the approval of this request.

Category	Potential Impact
Revenue	Due to the distribution formula for the State School Fund, the operational budget would not be impacted by the change (more property tax revenue = less state school fund).
Bond Revenue	Because the properties were undeveloped prior to the current bond authorization, they would be in a designation "bond pocket" and not levied for the current bond debt service. Owners would be responsible to pay future bond authorizations (amount and timing TBD).
Levy Revenue	Owners would be responsible for Operating Levy (even if they didn't vote for it). The average market value (below) is $1.08 million. At $1.99/$1,000, the maximum levy yield is $2,149.20 per home and an estimated annual total of $25,790.40.
Ballots	Without a boundary change, votes would belong to Portland Public Schools (even if their students attend Beaverton Schools as transfers), for capital projects, levies, and school board elections.
Student Support	If Multnomah County is unable to route public transportation to this area, PPS transportation would be required to access the properties by driving through Washington county for access due to the development/property design. This requirement adds transportation time and cost for a limited number of students.
Student Experience	Students would be required to apply for an annual transfer to attend the same (Beaverton) schools that their neighbors are. Annual calendars also vary, along with inclement weather

	and other district-specific factors. The current average student yield per household[1] in Oregon is .305[2] and the total estimated students impacted is 3.66.

Please see the map below for the identified properties and market values based on the Zillow real estate application as of 7/28/2025.



[1] https://www.qualityinfo.org/-/a-closer-look-at-oregon-s-median-household-income#:~:text=There%20are%201%2C752%2C050%20households%20in,is%20a%20separate%20living%20quarters.- 1,752,050

[2] https://www.oregon.gov/ode/schools-and-districts/grants/Documents/2025-26%20State%20School%20Fund/25-26%20Estimates%206-16-25.pdf- ADMr 534,360